Table 52.7 How Often Stops Hit

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Pattern top	71%	71%	3%
Middle	24%	19%	18%
Pattern bottom	5%	2%	70%

Volume trend. Volume trends downward more than 63% of the time on average, but should you throw away a pattern with a rising volume trend?

Rising/Falling volume. Answer: no. Rectangles with upward breakouts in bull markets show a nice statistical performance advantage if they have a rising volume trend. The other two columns favor a falling volume trend.

Breakout day volume. Heavy volume seen on the breakout day tends to push price higher.

Table 52.7 shows how often price reaches a stop location. The hit rate varies depending on breakout direction and market condition, but not by much. During the search for the ultimate high (upward breakouts), price will return to the top of the pattern 71% of the time. Downward breakouts show a hit rate of 70% of the time.

If you place a stop-loss order on the side opposite the breakout, price will take out the stop 5% or less of the time. However, you might entail a large loss, so divide the potential loss with the current price to get a percentage. If the percentage gives you a chill, then perhaps you should look elsewhere for a more promising trade. That's actually sound trading advice.

Table 52.8 shows the performance over three decades. The table does not show performance of patterns 30 years old compared to children. Rather, it's a comparison of how rectangles perform in each decade.